received some US$70 million in support from the World Bank.[12]

The decision to adopt non-alignment was thus not merely an idealistic dream of neutrality but rather based on a realistic assessment of India's geopolitical situation. Nehru intended to give India room to manoeuvre according to its own interests rather than allowing it to become confined within the limitations of a Cold War alliance. Hindsight reveals the consequences of this approach. Although providing the benefits of flexibility, non-alignment gave way to an inward-looking foreign policy that gave real credence only to Pakistan as a threat. This stance, in turn, created a reactive foreign policy.

Challenges in an aligned world

In the early years of independence, non-alignment formed the foundation of Indian foreign policy, with apparent success. As intended, India was able to secure support from both camps during the Cold War, albeit mostly in the form of diplomacy and economic aid. Yet India's lack of formal commitment to either power was not without consequence. Perhaps the greatest repercussion was the US decision to arm Pakistan after it joined the Central Treaty Organization (CENTO) and the Southeast Asia Treaty Organization (SEATO) in 1955. In the short term, this policy increased the perceived threat from Pakistan – a perception that, in the long term, fed an increasingly regionally focused policy consumed by Pakistan.

Outside the major powers, non-alignment gave India pre-eminence among developing countries, as reflected in the success of the 1955 Bandung Conference, which laid the groundwork for the Non-Aligned Movement and exhibited a